

STRATEGY | INTERNATIONAL BUSINESS | INSTITUTIONAL ANALYSIS

CIA Framework: Comparative Institutional Analysis

Read the rules before you play the game. The framework shows where a country's institutions stand, which way they are moving, and what that should mean for your strategy.

Leandro S. Pongeluppe | The Wharton School, University of Pennsylvania | pongelup@wharton.upenn.edu

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IDEA IN BRIEF

THE PROBLEM

Companies commit capital to countries on the strength of market size and growth forecasts, then discover that the rules protecting contracts, permits, and property are weaker, or less stable, than they assumed.

WHY IT HAPPENS

Institutional quality is hard to observe, so managers judge it informally, in absolute terms, and at a single moment. What matters is a country's standing relative to the real alternatives, and the direction it is moving.

THE SOLUTION

The CIA Framework places every country on a two-axis map of economic and political institutions, rescaled each year against every country with data. Locate, benchmark, track, and then validate with qualitative evidence.

Every cross-border investment is a bet on rules as much as on markets. A factory, a distribution network, or a long-term supply contract is only worth what the surrounding institutions allow it to be worth: courts that enforce agreements, regulators who do not change the terms midstream, and a political system in which no single actor can rewrite the rules overnight. When those institutions fail, the bill arrives fast, in the form of renegotiated contracts, arbitrary permits, requests for side payments, and, at the extreme, expropriation.

Yet most firms still assess institutions informally. A country gets labeled “stable” or “risky” on the basis of headlines, a consultant's slide, or the experience of one executive who once worked there. That habit has two blind spots. It treats institutional quality as absolute, when a location decision is always a choice among a handful of realistic alternatives. And it treats institutions as fixed, when in fact they improve and erode, sometimes within a single electoral cycle.

The Comparative Institutional Analysis (CIA) Framework is built to close both blind spots. It distills four decades of research in new institutional economics, development economics, political science, and political risk into a single map that a manager, policy analyst, or investor can read in minutes. This note explains

the logic behind the map, shows how to read it, and offers a way to translate what it shows into strategic choices. The interactive version lets you rebuild every exhibit for the countries and years that matter to you.

Why Institutions Belong in the Strategy Conversation

Douglass North called institutions “the rules of the game”: the humanly devised constraints that structure social, political, and economic exchange (North, 1990, 1991). Some are formal, such as constitutions, statutes, and regulations. Others are informal, such as norms, customs, and taboos. The question of where such rules come from is old. John Locke saw property rights as natural and legitimated by a social contract among equals (Locke, 1988); Jean-Jacques Rousseau saw them as the device that turned common resources into private holdings and, with it, entrenched inequality (Rousseau, 1964).

Modern economics has given the question a sharper edge. Acemoglu, Johnson, and Robinson (2001) show that the institutions laid down in the colonial era still shape income levels today, and that their effect survives once geography, culture, and the quality of leaders are taken into account. Acemoglu and Robinson (2012) generalize the point: **inclusive** institutions spread political and economic power, protect individual rights, and reward entrepreneurship and competition, while **extractive** institutions concentrate power and rents in a narrow elite. Each type tends to reinforce itself, producing virtuous or vicious cycles.

Political science adds a second axis. Dahl (2008) shows that closed hegemonies can open along two distinct paths: **liberalization**, which expands public contestation, and **inclusiveness**, which expands participation. Countries that advance on both reach what he calls polyarchy, the political counterpart of the economists’ inclusive cycle. The CIA map borrows this insight directly: economic and political institutions are related, but they move separately, and a country can lead on one while lagging on the other. The political axis of the map measures this concept directly, using the Electoral Democracy Index of the Varieties of Democracy (V-Dem) project.

For managers, the stakes are concrete. Once a firm sinks specific assets in a country, it is exposed to opportunism by local partners and by the state itself (Williamson, 1985). Henisz and Williamson (1999) and Henisz (2000, 2002) show that the danger is greatest where few checks constrain policymakers, because nothing stops the rules from changing after the investment is made. Henisz and Zelner (2010) describe in *Harvard Business Review* how such hidden risks blindside companies in emerging markets, and Ghemawat (2001) shows that administrative and political distance between home and host country still predicts how hard expansion will be.

What matters for a location decision is not only how good a country's institutions are in the abstract, but also how good they are relative to the alternatives, and which way they are moving.

How the Map Works

The framework places every country on two axes. The horizontal axis captures **economic institutions**: the quality of the rules that govern markets. It draws on Regulatory Quality from the World Bank's Worldwide Governance Indicators (WGI) (Kaufmann & Kraay, 2024), which captures perceptions of the ability of the government to formulate and implement sound policies and regulations that permit and promote private sector development. The vertical axis captures **political institutions**: how far political power is contested and shared. It draws on the Electoral Democracy Index of the V-Dem project (Coppedge et al., 2026), which measures the extent to which the ideal of electoral democracy, Dahl's polyarchy, is achieved: rulers are chosen in clean and competitive elections with broad suffrage, and citizens enjoy freedom of association and expression. The two measures come from different sources and methods: Regulatory Quality combines more than thirty surveys and expert assessments into one estimate with a published margin of error (Kaufmann & Kraay, 2024), while V-Dem aggregates the ratings of thousands of country experts. Small year-to-year moves should be read with care. Because the World Bank published Regulatory Quality only every two years before 2002, the missing years (1997, 1999, and 2001) are filled with the average of the neighboring years. The online tool also offers alternatives: other WGI indicators, the Heritage Foundation scores, and POLCON (Henisz, 2000).

Raw scores are then rescaled so that every position is relative. For country c in year t , each score is expressed as a z-score against the mean and standard deviation of all countries with data in that year, $C_t = \{n_t \in \mathbb{N} : c_1, c_2, \dots, c_n\}$:

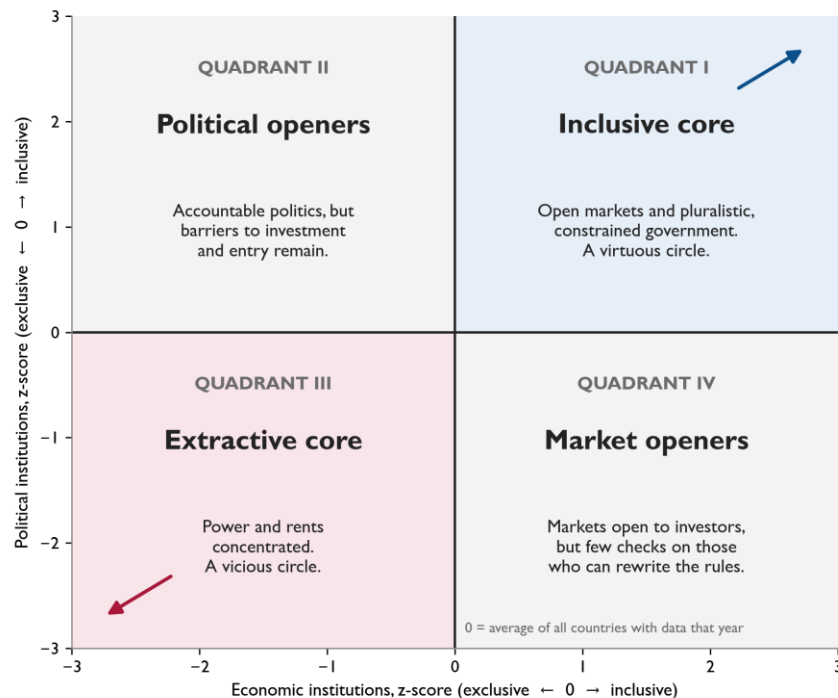
$$Zecon_{c,t} = \frac{econ_{score_{c,t}} - \mu_{score_t}}{\sigma_{score_t}} \quad Zpolit_{c,t} = \frac{polit_{score_{c,t}} - \mu_{score_t}}{\sigma_{score_t}}$$

Each country-year therefore occupies one point on the map, $CIA(Zecon_{c,t}, Zpolit_{c,t})$. The origin is the average country in the world that year: $Zecon_{c,t} = 0$ separates an exclusive economic environment ($Zecon_{c,t} < 0$) from an inclusive one ($Zecon_{c,t} > 0$), and the same reading applies to the political axis. Moving one unit means moving one standard deviation relative to all other countries. Selecting a few countries in the online tool changes what is displayed, not where they sit. The four quadrants that result tell four different strategic stories (Exhibit 1).

EXHIBIT I

The CIA map: four institutional environments

Countries are scored relative to all countries with data each year; the origin is the average country.



Source: Pongeluppe, CIA Framework (2026), building on the inclusive and extractive institutions of Acemoglu and Robinson (2012). Quadrant labels are descriptive shorthand; positions come from the online tool.

Reading the quadrants

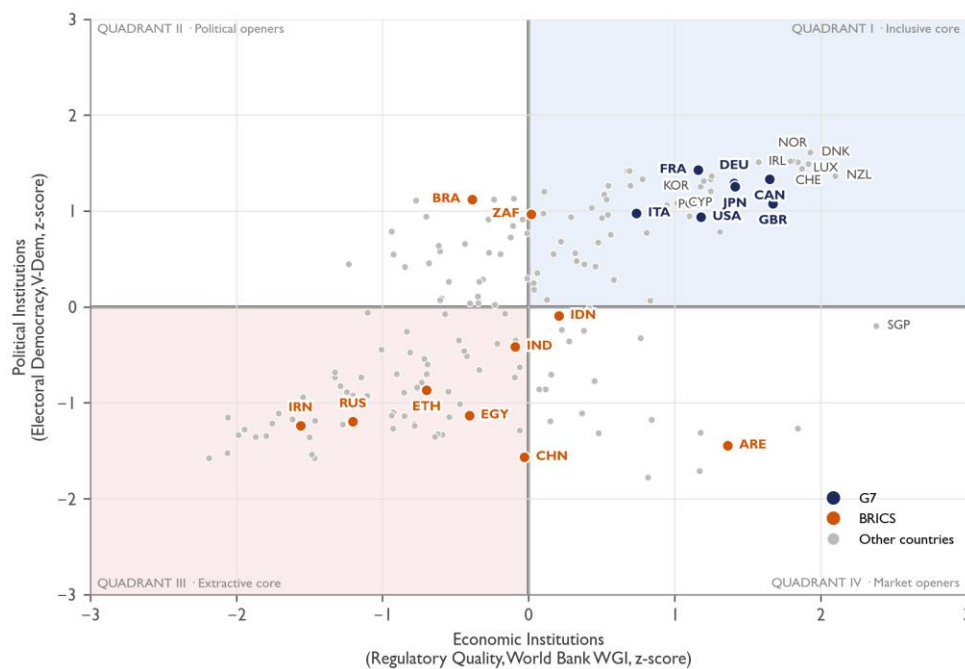
- **Quadrant I, the inclusive core.** Market-friendly rules and pluralistic, accountable politics. Contracts are easier to enforce and policy is harder to reverse, which lowers institutional risk; competition is often more intense.
- **Quadrant II, political openers.** Government is comparatively accountable, but regulation of investment and entry is more restrictive. The main challenges are licensing and red tape; regulatory reform can open opportunities.
- **Quadrant III, the extractive core.** Rules are less predictable and political competition is more limited, so institutional risk is higher. These markets can also offer less competition and room for early movers; firms often manage the risk with local partners, staged commitments, and insurance.
- **Quadrant IV, market openers.** Rules welcome investors, but there are fewer checks on how those rules can change. Firms often build flexibility and a broad base of local stakeholders into the entry plan.

Exhibit 2 shows the full map for 2025, the latest year available for both measures, with the G7 and BRICS countries highlighted. Denmark (DNK), New Zealand (NZL), and Switzerland (CHE) have the highest combined scores, with Ireland, Norway, and Luxembourg close behind. The G7 countries sit in Quadrant I, while the BRICS members are spread across all four quadrants, with South Africa just inside Quadrant I. Because the two axes come from different sources and capture different ideas, more countries sit away from the diagonal than on maps built from a single source, which is what makes Quadrants II and IV informative. The online tool shows and labels every country.

EXHIBIT 2

The CIA map, 2025

Regulatory Quality (World Bank WGI, economic axis) against Electoral Democracy (V-Dem, political axis), all countries with data; G7 in navy, BRICS in orange.



Source: author's calculations from World Bank WGI (Kaufmann & Kraay, 2024) and V-Dem (Coppedge et al., 2026) data. Each dot is one of 173 countries; the G7, BRICS, and a few reference countries are labeled by three-letter ISO code, and the online tool labels all of them.

Three Questions the Map Answers

I. Where does the country stand?

The first use is a snapshot: a cross-country comparison within a single year. It tells you which quadrant a market belongs to and how far from the origin it sits, which is a quick test of whether the institutional story in an investment memo matches the data.

2. Who are its institutional peers?

The snapshot also reveals neighbors. Countries that sit close together on the map share a similar institutional profile, which is a direct read of what Ghemawat (2001) calls administrative and political distance. Consider an American company weighing its next foreign market. On the 2025 map (Exhibit 2) the United States sits in the inclusive core near Cyprus, Poland, and Mauritius. Countries closer to it on the map are, other things equal, places where the company's contracting habits, compliance systems, and expectations of government are more likely to travel well.

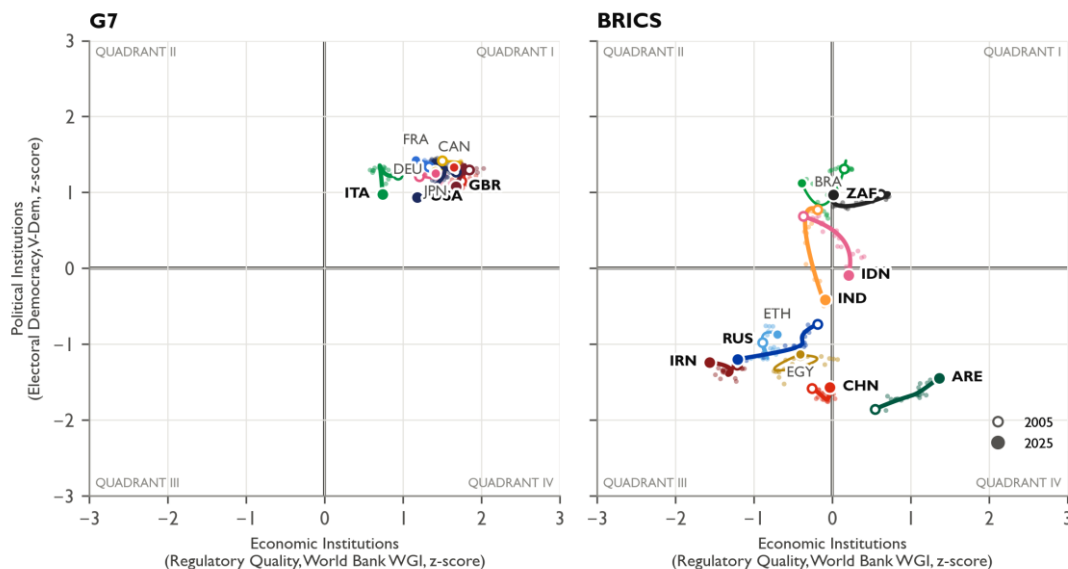
3. Which way is it moving?

A snapshot is a stock; strategy also needs the flow. A country that sits comfortably in Quadrant I but is sliding toward the origin poses a different risk from one that sits near the origin but is climbing. The online tool therefore tracks any group of countries over a window $\Delta t = (t_1 - t_0)$ and draws each country's full path. Exhibit 3 does this for the G7 and BRICS from 2005 to 2025, the latest year with data for both measures. BRICS here means its ten members in 2026: Brazil, Russia, India, China, South Africa, Egypt, Ethiopia, Iran, the United Arab Emirates, and Indonesia. Each path is drawn as a smooth polynomial curve pinned to the exact 2005 and 2025 positions, with the actual yearly scores shown as dots.

EXHIBIT 3

Two decades of institutional change in the G7 and BRICS, 2005 to 2025

Each curve is a cubic polynomial fitted to one country's yearly positions, pinned to its exact 2005 (open circle) and 2025 (filled circle) positions; small dots are the actual yearly scores. Colors follow each country's flag.



Source: author's calculations from World Bank WGI and V-Dem data. Positions are measured against all countries with data in each year.

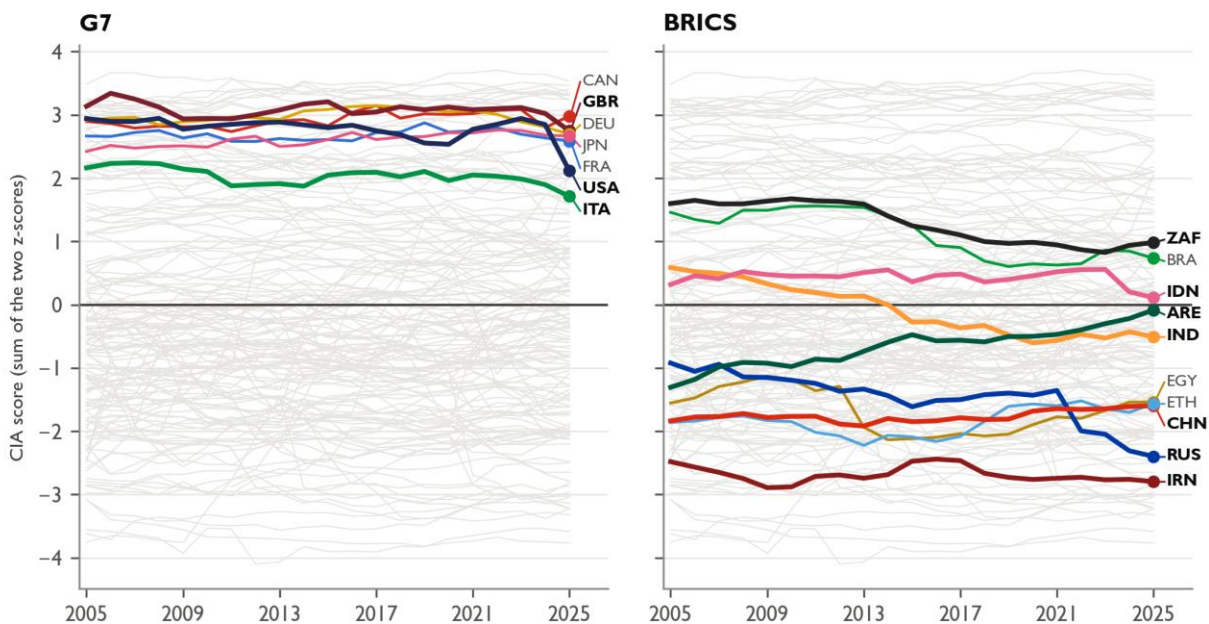
The paths tell a story that no single year can. Most moves over the two decades were modest. A few BRICS members moved the most, in both directions, while most G7 members drifted slightly toward the world average from above. Whether a move came from the economic or the political axis differs from country to country, which is what Exhibits 5 and 6 quantify.

A simpler view adds the two coordinates into a single CIA score for each country and year, $CIA(Zecon_{c,t}, Zpolit_{c,t})$ collapsed to one number, and plots it over time against the paths of every other country in the data (Exhibit 4). It is the quickest way to see convergence and divergence.

EXHIBIT 4

The CIA score over time, 2005 to 2025

Sum of the economic and political coordinates; colored lines are the G7 (left) and BRICS (right), gray lines all other countries.



Source: author's calculations from World Bank WGI and V-Dem data.

Two patterns stand out. First, the G7 remained a compact group, with scores between about 1.7 and 3.0 in 2025, slightly below their 2005 levels. Second, the BRICS remain a diverse group, spread across all four quadrants and from above to well below the world average. Because each score is relative to all countries, these movements describe changes in relative standing, not absolute gains or losses.

To summarize movement in a single number, the framework computes the change in each coordinate between the first and last year and adds them up into ($\Delta CIA_{c,\Delta t}$):

$$\begin{aligned}\Delta CIA_{c,\Delta t} &= CIA(Zecon_{c,t1}, Zpolit_{c,t1}) - CIA(Zecon_{c,t0}, Zpolit_{c,t0}) \\ &= [Zecon_{c,t1} - Zecon_{c,t0}] + [Zpolit_{c,t1} - Zpolit_{c,t0}]\end{aligned}$$

Because both coordinates are z-scores, ($\Delta CIA_{c,\Delta t}$) is measured in standard deviations, and it can be decomposed into its economic and political parts. Exhibit 5 ranks the seventeen countries; Exhibit 6 shows the decomposition.

EXHIBIT 5

Who moved, and how far: the CIA ranking for the G7 and BRICS, 2005 to 2025

Change in position between 2005 and 2025, in standard deviations.

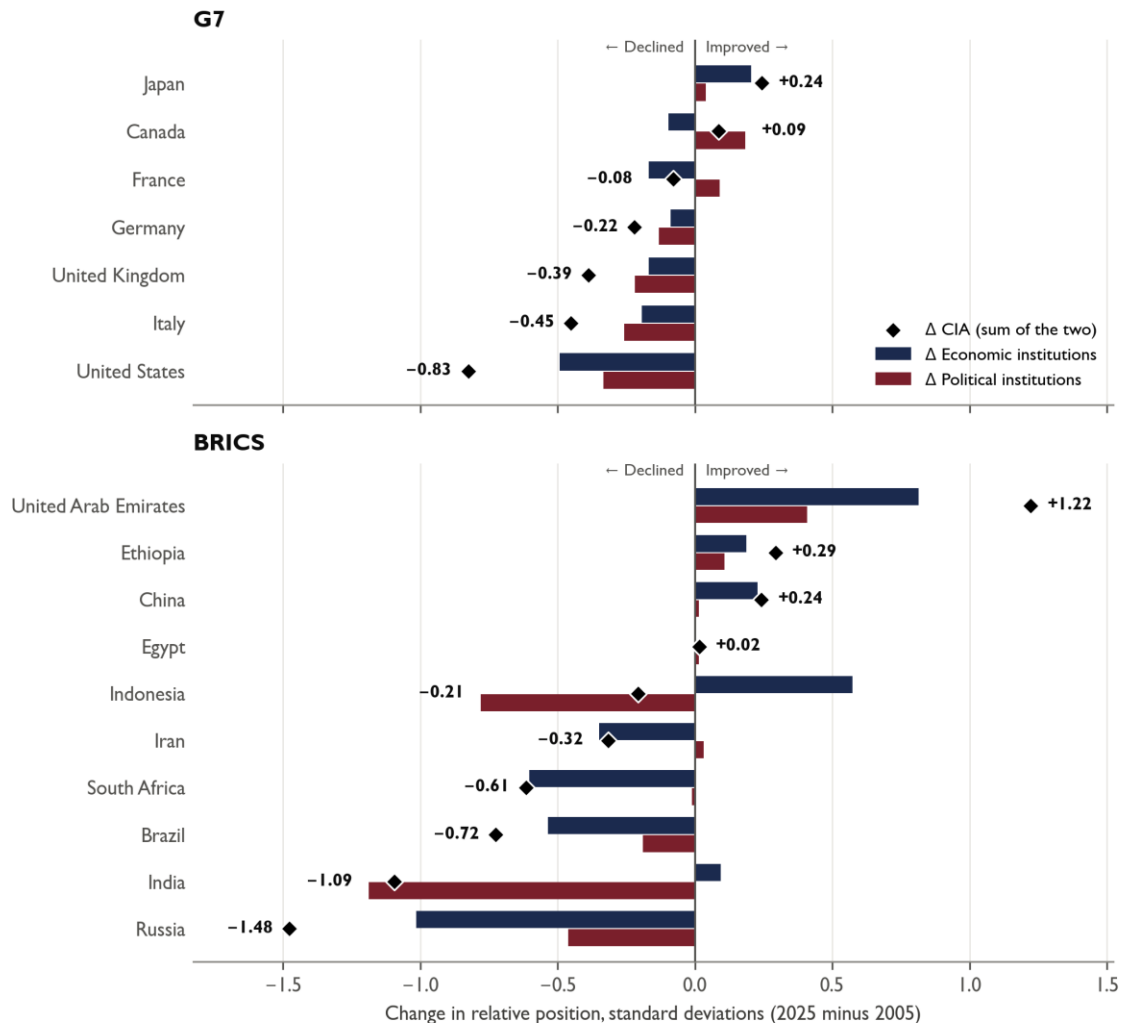
Rank	Code	Country	Δ Economic	Δ Political	Δ CIA
1	ARE	United Arab Emirates (BRICS)	+0.81	+0.41	+1.22
2	ETH	Ethiopia (BRICS)	+0.19	+0.11	+0.29
3	JPN	Japan (G7)	+0.20	+0.04	+0.24
4	CHN	China (BRICS)	+0.23	+0.01	+0.24
5	CAN	Canada (G7)	−0.10	+0.18	+0.09
6	EGY	Egypt (BRICS)	0.00	+0.01	+0.02
7	FRA	France (G7)	−0.17	+0.09	−0.08
8	IDN	Indonesia (BRICS)	+0.57	−0.78	−0.21
9	DEU	Germany (G7)	−0.09	−0.13	−0.22
10	IRN	Iran (BRICS)	−0.35	+0.03	−0.32
11	GBR	United Kingdom (G7)	−0.17	−0.22	−0.39
12	ITA	Italy (G7)	−0.19	−0.26	−0.45
13	ZAF	South Africa (BRICS)	−0.60	−0.01	−0.61
14	BRA	Brazil (BRICS)	−0.54	−0.19	−0.72
15	USA	United States (G7)	−0.49	−0.33	−0.83
16	IND	India (BRICS)	+0.09	−1.19	−1.09
17	RUS	Russia (BRICS)	−1.02	−0.46	−1.48

Source: author's calculations from World Bank WGI and V-Dem data. Δ CIA = Δ Economic + Δ Political, up to rounding.

EXHIBIT 6

The same number can hide very different stories

Decomposition of Δ CIA into economic and political change, 2005 to 2025: G7 (top) and BRICS (bottom), each sorted by Δ CIA.



Source: author's calculations from World Bank WGI and V-Dem data; values as in Exhibit 5.

Three lessons emerge. First, the largest relative gains among the seventeen countries came from countries that improved on both axes at once, as the United Arab Emirates (+0.81 economic, +0.41 political) and Ethiopia (+0.19, +0.11) did. Second, similar totals can hide different combinations: a country can move on one axis only, as Japan did (+0.20 economic, +0.04 political), or gain on one axis while slipping on the other, as Canada did (-0.10 economic, +0.18 political). Third, some changes are recent. Averaging the first and last three years (2005 to 2007 against 2023 to 2025) keeps the largest gains and declines on the

same side of zero, but changes concentrated in the last year or two shrink noticeably under this check, a reminder to treat short-run moves with caution.

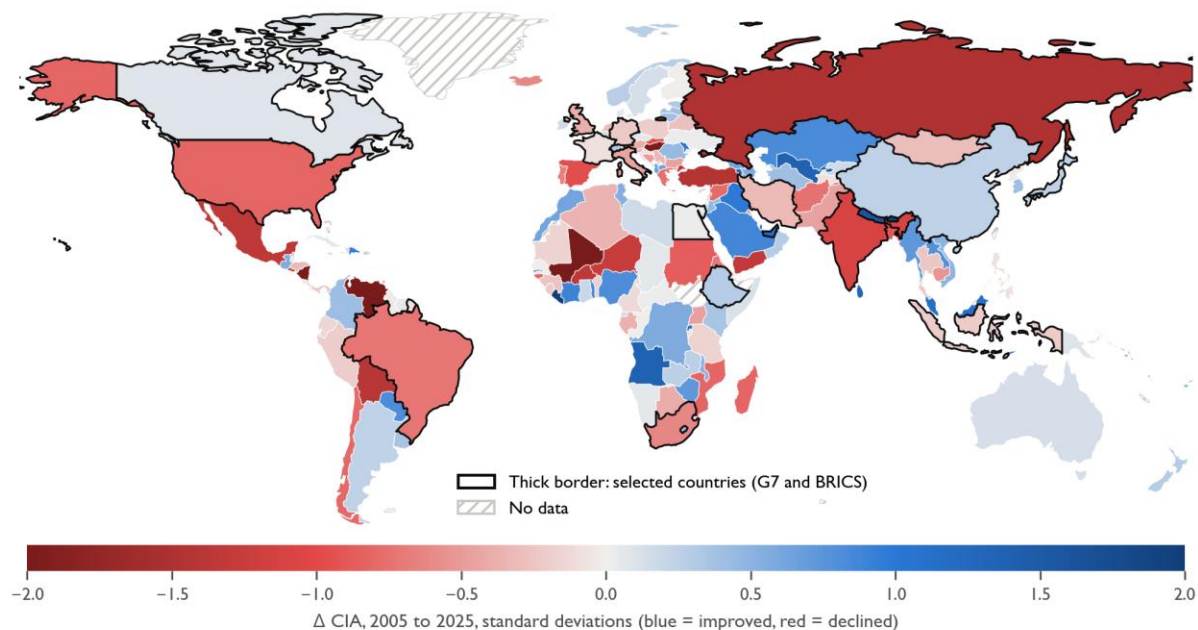
The decomposition matters because the two dimensions carry different implications. A change on the economic axis signals easier or harder conditions for investors and entrants; a change on the political axis signals more or less political competition, and therefore more or fewer checks on those who make the rules. Two countries with the same total change can therefore call for different responses. ($\Delta CIA_{c,\Delta t}$)

The online tool also maps ($\Delta CIA_{c,\Delta t}$) for every country in the world (Exhibit 7), outlining the G7 and BRICS. Most changes are modest, and the map is best read alongside the decomposition in Exhibit 6.

EXHIBIT 7

Change in relative position, 2005 to 2025

Δ CIA by country; blue indicates a higher relative position, red a lower one. G7 and BRICS countries are outlined; small island states are not shown at this scale.



Source: author's calculations from World Bank WGI and V-Dem data.

In Practice: Choosing a European Headquarters

Imagine a fast-growing multinational from a BRICS economy that needs a European headquarters and is weighing four G7 members: Germany, the United Kingdom, France, and Italy. Its leaders want an institutional environment that will protect a long-lived regional base, a trajectory that will not surprise them, and access to European markets.

Locate and benchmark. In 2025 all four sit in Quadrant I. The United Kingdom has the highest economic score (1.67) and France the highest political score (1.43); Germany is close to both, and Italy is the lowest of the four on both axes (0.74 economic, 0.97 political). On position alone, the differences among them are small.

Track. The trajectory adds information. France held its position over the two decades (−0.08). Germany (−0.22) and the United Kingdom (−0.39) moved slightly toward the world average on both axes, and Italy (−0.45) moved the most, a little more on the political axis than on the economic one.

Validate. Before deciding, the team asks what lies behind each movement and how lasting it is: which regulatory changes explain the economic shifts, and what explains the political ones. A shorter and a longer window are compared to see whether the signal holds.

Decide. Each location offers a different mix of position and momentum. A sensible outcome might be a headquarters in the country that best fits the firm's needs today, with contracts and plans designed for the changes the map flagged, while keeping an eye on locations whose conditions are improving.

This example is illustrative. It shows how the steps fit together, not a recommendation about any country.

Risk and Return Across the Map

Firms and investors operate, and succeed, in every quadrant of the map. What changes from one quadrant to another is the balance of risk and potential return. Where institutions are stronger, contracts are easier to enforce and plans easier to keep, but markets tend to be more crowded and margins thinner. Where institutions are weaker, firms face more uncertainty about how rules are applied and whether they will change, yet they may also find less competition and room for early movers. The direction of change adds a second consideration: improving conditions can open new opportunities, while weakening conditions call for closer monitoring. The map does not tell a firm where to go. It helps the firm decide how to go: how much to commit up front, how to structure contracts and partnerships, and which signals to watch over the life of the investment.

Where the Numbers Stop

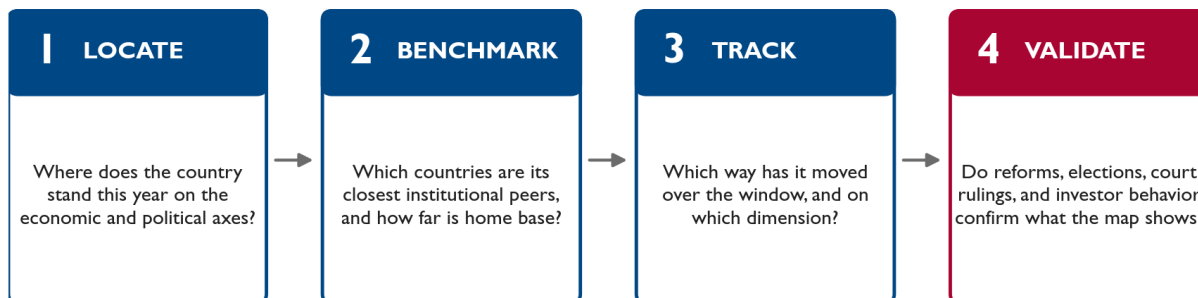
The map is a starting point, not a verdict. Its scores come from expert assessments and composite indices that are published with a lag and that summarize a great deal of local detail. The final, and most important, step is to validate what the map shows with qualitative evidence: to understand what happened in the

country during the window and whether the movements on the map reflect real changes or noise (Exhibit 8).

EXHIBIT 8

The CIA workflow

Three quantitative steps, one qualitative step.



Steps 1 to 3 are quantitative and run in the online tool. Step 4 is qualitative and is where the decision is made.

Source: Pongeluppe, CIA Framework (2026).

Useful evidence includes:

- **Enacted reforms and reversals:** changes to investment law, licensing, taxation, and anticorruption enforcement during the window.
- **Political events:** elections, transfers of power, and changes in the balance between executive, legislature, and courts.
- **Behavior of other investors:** foreign direct investment flows, entries and exits of peer firms, and disputes brought to arbitration.
- **Local voices:** media coverage, country outlooks, and conversations with partners, regulators, and community stakeholders on the ground.

The online tool supports this step. Its Evidence tab shows, for any country and window, the movement on each axis alongside GDP per capita, population, foreign direct investment, and income inequality, and links to country reports from the World Bank, the IMF, the Bertelsmann Transformation Index, and Our World in Data. It also opens searches restricted to the selected years and to trusted sources: multilateral organizations, leading academic journals, and established news outlets.

Five Ways to Misread the Map

- 1. Relative is not absolute.** Because positions are rescaled every year, a country can fall on the map without getting worse, simply because others improved faster. The reverse is also true.
 - 2. The benchmark is the world, not your shortlist.** Every position is measured against all countries with data that year. A country's true peers are whoever sits near it on the global map, which may not be the countries you happened to shortlist.
 - 3. One year is not a trend.** Rerun the analysis over shorter and longer windows; a movement that survives is a signal. A one-year jump often reflects a change in how an index is scored, not in the country.
 - 4. National averages hide local variation.** Institutions differ across regions and cities within the same country. A national score says little about a specific state, municipality, or neighborhood.
 - 5. Indices are inputs, not verdicts.** The underlying measures are assessments, published with a lag. They should open the conversation about a country, not close it.
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The Bottom Line

Institutions are the slowest-moving part of any country's investment case and the most expensive to get wrong. The CIA Framework does not replace judgment or local knowledge. What it offers is discipline: a common map on which to locate a country, find its true peers, see which way it is heading, and then ask the right questions on the ground. Managers who read the rules before they play the game are less likely to be surprised when the rules change.

Suggested citation: Pongeluppe, L. S. (2026). "Comparative Institutional Analysis (CIA Framework)." The Wharton School, University of Pennsylvania.

Further Reading

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